higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

ECONOMIC ENVIRONMENT
NQF LEVEL 3

(3011023)

7 March 2019 (X-Paper)
09:00–12:00

This question paper consists of 9 pages.

NCV

TIME: 3 HOURS
MARKS: 200

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Write neatly and legibly.

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SECTION A

QUESTION 1

1.1 Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1.1–1.1.10) in the ANSWER BOOK.

1.1.1 ONE of the production factors required in the economy:

A Assets
B Goods and services
C Money
D Labour

1.1.2 … is/are received at the end of each day, week or month.

A Wages
B Salaries
C Commission
D Brokerage

1.1.3 Companies' shares are traded here:

A SARB
B DTI
C JSE
D CIPRO

1.1.4 … is a synonym for free market system.

A Capitalism
B Mercantilism
C Socialism
D Mixed economic system

1.1.5 From a South African perspective, when the rand is trading weaker against the American dollar, exports are …

A promoted.
B hampered.
C Both A and B
D None of the abovementioned

1.1.6 We call the share market a … market when people are feeling confident.

A bear
B bull
C secondary
D financial

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1.1.7 Ensures that goods are produced at the right cost, the right time and for the right market:

A Purchasing
B Production
C Marketing
D External relations

1.1.8 Currency or money used by a country other than ours:

A Foreign currency
B Foreign exchange
C Exchange rate
D All the abovementioned

1.1.9 If the rand depreciates prices, the rate of inflation will …

A decrease.
B increase.
C remain the same.
D remain constant.

1.1.10 Tourism that focuses on appreciating, preserving and protecting the natural environment is …

A ecotourism.
B fauna.
C flora.
D protectionism.

(10 × 1) (10)

1.2 Give ONE word/term for each of the following descriptions. Write only the word/term next to the question number (1.2.1–1.2.5) in the ANSWER BOOK.

1.2.1 Part of a portion of something in relation to the whole thing

1.2.2 All extra costs of exporting goods to another country

1.2.3 Measures the increase or decrease of the general price level of many goods and services used by an average consumer

1.2.4 Amounts a company pays out of its profits to its shareholders

1.2.5 The view on particular topics and issues that people in general have

(5 × 2) (10)

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1.3 Indicate whether the following statements are TRUE or FALSE. Choose the answer and write only 'True' or 'False' next to the question number (1.3.1–1.3.10) in the ANSWER BOOK.

1.3.1 Fixed costs are those costs, which vary directly with the level of output.

1.3.2 Cash flow is the money that flows into and out of a business.

1.3.3 Technological factors are part of the micro environment.

1.3.4 Competitors are organisations in the same business.

1.3.5 The company's mission is part of the market environment.

1.3.6 Oil and gas are examples of non-renewable resources.

1.3.7 The terms of trade is the value of a country's exports compared to the value of its imports.

1.3.8 An investor is someone who lays out money or capital in exchange for interests or dividends.

1.3.9 The management function is also referred to as stock control.

1.3.10 Mark-up is the percentage that the dealer adds to the cost of a commodity or service in order to provide him with a profit.

(10 × 1) (10)

1.4 Define the following terms:

1.4.1 Privatisation

1.4.2 Exchange rate

1.4.3 Merchant Bank

1.4.4 Economic indicator

1.4.5 Critical path analysis

(5 × 2) (10)
[40]

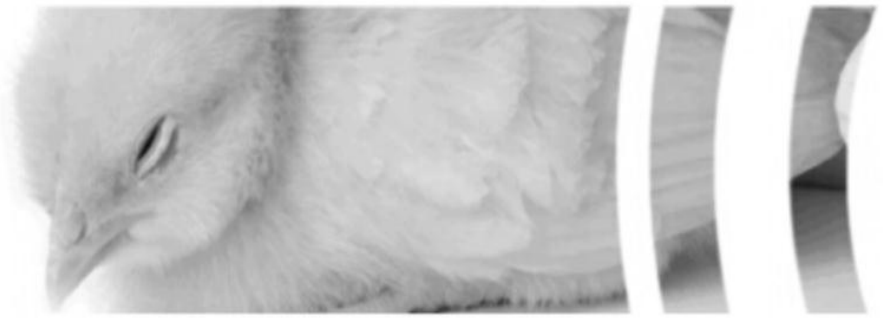
TOTAL SECTION A: 40

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SECTION B

QUESTION 2

Read the extract below and answer the questions.



Chicken Prices May Rise As Avian/Bird Flu Spreads.

SOUTH AFRICAN poultry producers on the JSE have proven to be resilient in the midst of the avian influenza outbreak, but experts warned that if the disease continued to spread, South Africans could expect shortages and prices to rise.

[Source: *Business Report*, 7 August 2017

2.1 Which sector of business is mainly affected by the bird flu? (2)

2.2 Name FOUR functions of the JSE. (4)

2.3 Briefly explain how bird flu affects the South African farmers. (4 × 2) (8)

2.4 What effect does the increase in chicken prices have on the economy? (4)

2.5 Describe TWO important functions of the economic indicator. (2 × 2) (4)

2.6 State TWO ways in which the South African government can address the skills shortage in the country. (2 × 2) (4)

2.7 What are the measures that the South African government can use to reduce poverty? (4)

2.8 When a poultry producer obtains a loan to finance his/her business, explain how interest in payments and the loan period can influence the cost of credit. (2)

2.9 Briefly explain how financial markets influence the local economy. (4 x 2) (8)

[40]

QUESTION 3

3.1 Name THREE types of market shares. (3)

3.2 Differentiate between *consumer price index* and *producer price index*. (4)

3.3 Name THREE consequences of unemployment in the economy. (3)

3.4 Businesses use the P.E.S.T analysis before responding to changes in the business environment.

State what the acronym P.E.S.T. stands for. (4)

3.5 Explain TWO negative effects that natural disasters could have on the tourism industry. (4)

3.6 Which THREE factors gave rise to globalisation in South Africa? (3 × 2) (6)

3.7 A geyser manufacturer received a loan of R3 000 from a bank at a simple interest rate of 18% per annum. The company's monthly cost of manufacturing geysers is R250 per geiser and its monthly overhead costs are R15 000.

3.7.1 Calculate the interest on the loan if the company repays the loan over 1 year. Show the method and the calculations. (4)

3.7.2 Calculate the monthly cost if the company manufactures 80 geysers per month. (3)

3.7.3 Calculate how much a customer will pay for each geyser if the business requires a profit of 35%. (3)

3.8 Briefly explain the following terms:

3.8.1 Export duty

3.8.2 Landed costs

3.8.3 Commodity

(3 × 2) (6)

[40]

QUESTION 4

4.1 Assume that the exchange rate is R7,50 against the dollar. Due to petrol increase, the rand depreciates by 20%.

Calculate the new exchange rate. Show ALL the calculations. (4)

4.2 Differentiate between micro, market and macro environments. Give examples of each environment. (3 × 3) (9)

4.3 Write down a brief explanation of the term *infrastructure*. (2)

4.4 Name THREE strategies the business may use in order to scan the environment. (3)

4.5 What effects does poverty have on households? (2)

4.6 Mimi wants to borrow R8 000 from the bank. Royce Bank charges an interest rate of 8% p.a. at simple interest and Bree Bank charges a 7% compound interest p.a. for 3 years.

Advise Mimi which option to take by showing all the calculations. (10)

4.7 Draw a simple diagram of the flow of goods and capital that are involved in a household's consumption spending. (6)

4.8 Give TWO reasons why businesses pay salaries to members of households. (2 × 2) (4)

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QUESTION 5

Read the extract below and answer the questions.

Pick 'n Pay introduces tap-and-go technology to speed up service at its tills.

Pick 'n Pay has introduced tap-and-go in its stores. Contactless card payments do not require consumers to swipe their cards, enter PIN numbers or give their signatures.

[Source: *BusinessDay*, 22 November 2016

5.1 Explain how the improvement in technology such as tap-and-go can benefit Pick 'n Pay consumers. (8)

5.2 Name THREE advantages of this technological advancement for Pick 'n Pay business. (3 × 2) (6)

5.3 'Pick 'n Pay will require more advance capital for this project'.

Explain THREE functions of capital. (3 × 2) (6)

5.4 What is the difference between *renewable* and *non-renewable natural resources*? Give examples to show the difference. (2 × 3) (6)

5.5 Read the extract below and answer the questions.

Nosipho makes her beaded wire lamps in her factory in Durban. The cost of making the lamps is R150 per lamp. She is thinking about exporting 1 000 lamps to a customer in France.

Packaging : R50 for 20 boxes
Labelling : R65 for a box of 250 labels
Shipping : R750 for every 50 lamps that go to France

5.5.1 What is the cost of each lamp if Nosipho exports 1 000 lamps to France? (10)

5.5.2 In July, Nosipho made a turnover of R451 650. During August her turnover increased by 6%.

Calculate her new turnover. (2)

5.6 Tumi received a five-euro bill (€5) as a tip from a European tourist and the exchange rate is €1 = R9,93.

Calculate Tumi's tip in rand value. Round off your answer to the nearest rand. (2)

[40]

TOTAL SECTION B: 160
GRAND TOTAL: 200

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